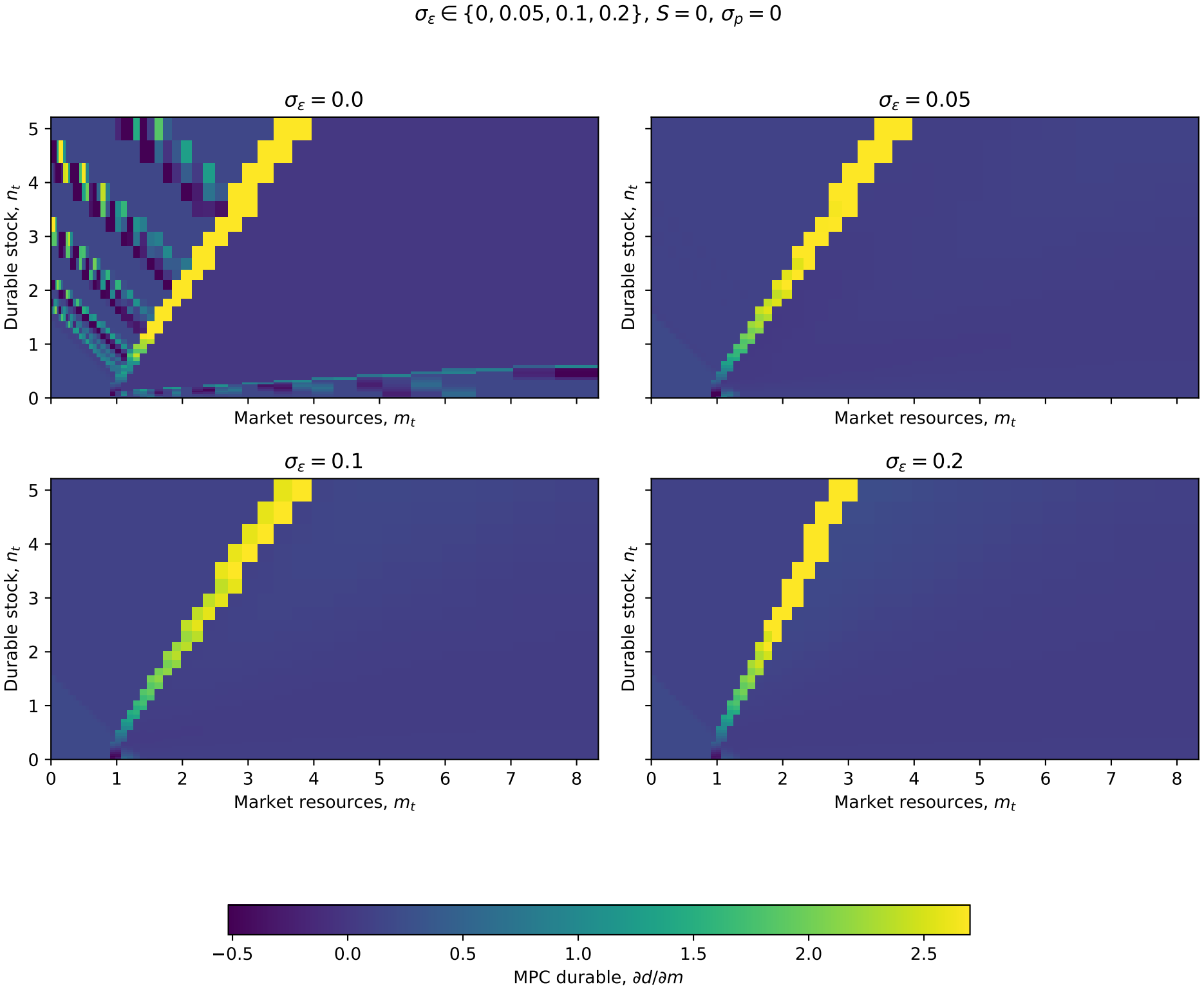

$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.05$
$\sigma_\varepsilon = 0.1$
$\sigma_\varepsilon = 0.2$
Durable stock, n_t
Market resources, m_t
0
1
2
3
4
5
6
7
8
−0.5
0.0
0.5
1.0
1.5
2.0
2.5
MPC durable, $\partial d/\partial m$